Janaseva Sahakari Bank Ltd.,Hadapsar, Pune.

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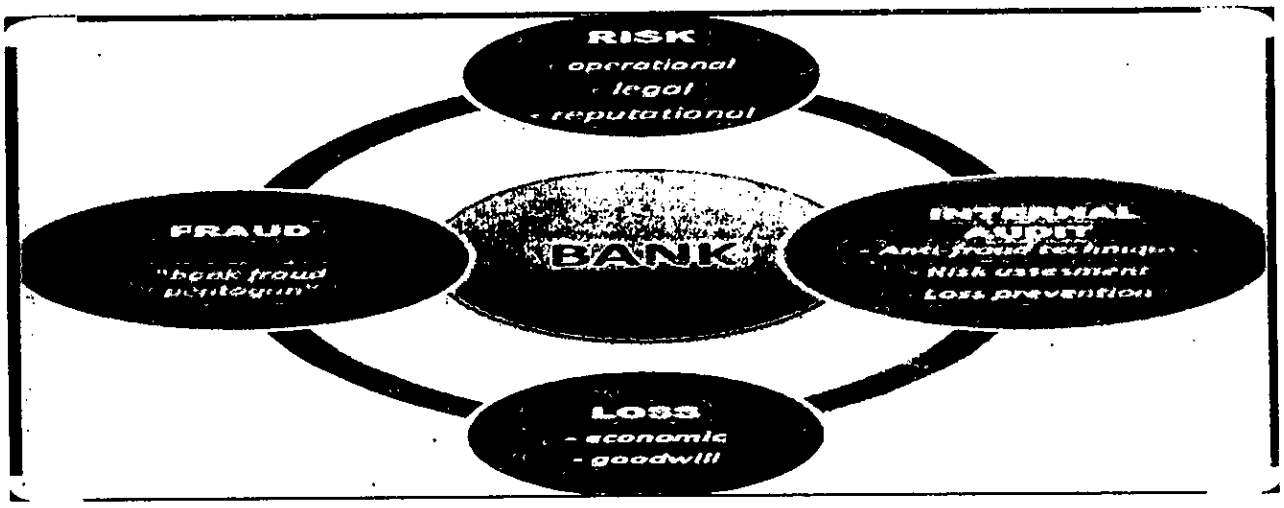
Fraud Risk Management Policy – 2025-26



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Policy is approved in the Hon.Board Of Directors Meeting Dtd. vide Resolution No. / /

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Fraud Risk Management Policy

Purpose

This policy outlines the framework for managing fraud risks within the bank to safeguard its assets, customers, reputation, and integrity. It establishes guidelines for identifying, preventing, detecting, and responding to fraud. A framework to Cooperative Banks for prevention, early detection and timely reporting of incidents of fraud to Law Enforcement Agencies (LEAs), Reserve Bank of India (RBI) and NABARD and dissemination of information by RBI

Objectives

Ensure proactive measures to prevent and detect fraud. Establish a zero-tolerance stance against fraudulent activities. Protect the interests of the bank's stakeholders.Comply with regulatory requirements on fraud risk management. The primary objective of a Fraud Risk Management Policy is to establish a robust framework to proactively identify, assess, mitigate, and monitor fraud risks within the banking environment. The specific objectives include

1. **Prevention of Fraud –**
   To implement preventive measures, controls, and systems that minimize the likelihood of fraudulent activities. To foster a culture of ethical behavior and integrity across all levels of the organization.

2. **Detection of Fraud -**
   To ensure early identification and prompt detection of fraudulent activities through effective monitoring, reporting, and analytical tools. To establish efficient mechanisms for whistle blowing and customer feedback.

3. **Mitigation of Fraud Risks –**
   To develop strategies and controls to minimize the impact of fraud on the bank's financial performance and reputation. To ensure compliance with applicable regulatory requirements and guidelines.

4. **Investigation and Response –**
   To outline clear processes for investigating suspected fraud cases and determining appropriate corrective actions. To ensure fair and consistent treatment of fraud-related incidents, including disciplinary action and legal proceedings.

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5. **Capacity Building and Awareness –**
   To provide regular training and awareness programs for employees and stakeholders to understand fraud risks and their roles in managing them. To use communication channels to promote transparency and accountability

6. **Continuous Improvement –**
   To monitor and periodically review the effectiveness of the fraud risk management framework. To integrate technological advancements, such as data analytics, to enhance fraud detection and prevention mechanisms.

Governance Structure in Banks for Fraud Risk Management -

1. **Special Committee of the Board for Monitoring and Follow-up of cases of Frauds' (SCBMF) –**

   Special Committee of the Board for Monitoring and Follow-up of cases of Frauds' (SCBMF) with a minimum of three members of the Board, consisting of the Chief Executive Officer and two directors. The Committee shall be headed by one of the director. SCBMF shall oversee the effectiveness of the fraud risk management in the Bank. SCBMF shall review and monitor the cases of frauds, including root cause analysis, and suggest mitigating measures for strengthening the internal controls, risk management framework and minimising the incidence of frauds. The coverage and periodicity of such reviews shall be decided by the Board of the Bank.

   The Fraud Risk Management Policy shall be reviewed by the Board at least once in year.

2. **Fraud Risk Management Committee (FRMC):** - Composed of senior management, compliance, and risk officers. Oversees the implementation of the fraud risk management framework. Periodically reviews fraud risks, incidents, and mitigation measures. The Committee shall be headed by HOD- Audit Department and other departments HODs are members of the committee.

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Roles and Responsibilities –

1. The Senior Management shall be responsible for implementation of the fraud risk management policy approved by the Board of the Bank. A periodic review of incidents of fraud shall also be placed before Board / Audit Committee of Board (ACB), as appropriate, by the Fraud Risk Management Committee.

2. Committee shall put in place a transparent mechanism to ensure that Whistle Blower complaints on possible fraud cases / suspicious activities in account(s) are examined and concluded appropriately under their Whistle Blower Policy.

3. Implement fraud risk management policies approved by the board. Develop a robust fraud risk management framework, including preventive and detective measures. Ensure compliance with regulatory requirements. Regular training for employees on fraud detection and prevention. Encourage a whistle blowing culture with adequate safeguards.

4. Typically reports to senior management and the risk/audit committee. Responsible for identifying, monitoring, and mitigating fraud risks. Conduct fraud risk assessments. Investigate reported fraud incidents. Maintain a fraud database for tracking and analysis. Internal Audit Department should conduct regular audits to identify and address vulnerabilities. Evaluate the effectiveness of internal controls and fraud prevention mechanisms. Recommend improvements in systems and processes. Compliance Function to ensure adherence to regulatory and legal requirements. Monitor reporting and disclosure obligations related to fraud. External Auditors should independently review financial statements and internal controls. Report suspicious activities or fraud risks to the board and regulatory authorities.

Framework for Early Warning Signals for Detection of Frauds –

Early Warning Signals (EWS) under the overall Fraud Risk Management Policy approved by the Board. Board Level Committee shall oversee the effectiveness of the framework for EWS. The Senior Management shall be responsible for implementation of a robust Framework for EWS.

A system of robust EWS which is integrated with Core Banking Solution (CBS) or other operational systems; Initiation of remedial action on triggers / alerts from EWS System in a timely manner; and Periodic review of credit sanction and monitoring processes, internal controls and systems. We are developing our robust EWS which is integrated with CBS. Our Credit Monitoring Department monitored Credit Facilities / Loan Accounts EWS by manually and other banking / non-credit related transactions are monitored by manually through our KYC-AML department. An Early Warning Signal (EWS) framework helps identify potential risks or issues in banking and non-banking transactions before they escalate into more significant problems. It is

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designed to monitor various indicators, behaviors, and anomalies within transactions to enable timely intervention.

1. Financial Indicators –

a. Delayed or missed loan repayments.
b. Frequent overdraft utilization or breach of credit limits.
c. Declining sales, revenue, or profitability margins.
d. Deteriorating credit ratings.
e. Continuous high leverage or increased debt-to-equity ratio.

2.. Operational Indicators -

a) Default in payment to the banks/sundry creditors and other statutory bodies, etc.
b) Bouncing of the high value cheques
c) Disproportionate increase in other current assets.
d) Significant increase in working capital borrowing as percentage of turnover
e) Frequent ad hoc requests/sanctions
f) Not routing of sales proceeds through bank
g) Frequent request for general purpose loans
h) Under-insured or over insured inventory
i) Management disputes or sudden changes in key personnel.
j) Delayed submission of audited financial statements.
k) Declining inventory turnover or increasing receivables aging.
l) Adverse audit observations or qualified financial statements.
m) Delay observed in payment of outstanding dues
n) Significant movements in receivables, disproportionately higher than the growth in turnover and/or increase in ageing of the receivables
o) Significant movements in inventory, disproportionately higher than the growth in turnover
p) Funds coming from other banks to liquidate the outstanding loan amount
q) Request received from the borrower to postpone the inspection of the godown for flimsy reasons
r) Large number of transactions with inter-connected companies and large outstanding from such companies

3. Market and External Indicators –

a. Adverse sectoral performance impacting the borrower.
b. Litigation or legal disputes involving the borrower.
c. Negative news or adverse media coverage about the borrower or its business.
d. Political or regulatory changes affecting the borrower's operations.
e. Dispute on title of the collateral securities
f. Raid by Income tax/sales tax/central excise duty officials, etc

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Developing a framework for early warning signals (EWS) to detect fraud in a bank involves creating a structured approach to identify, assess, and act on indicators that may suggest fraudulent activities.

1. **Borrower-Specific Indicators –**
   a. Frequent changes in the ownership structure of borrowing entities.
   b. Delay or non-submission of financial statements.
   c. Overstatement of financials or suspicious financial discrepancies.
   d. Frequent bouncing of cheques or delays in loan repayment.
   e. Borrowers refusing or avoiding inspection of records or premises

2. **Transaction-Specific Indicators –**
   a. Unusual or large transactions inconsistent with the customer's profile.
   b. Frequent round-tripping or circular transactions.
   c. Diversion of funds or suspicious end-use of loans.
   d.Multiple accounts with common directors, signatories, or addresses

3. **Employee Behavior Indicators -**
   a. Employees living beyond their known means.
   b. Avoidance of mandatory leave or job rotation.
   c. Employees frequently accessing sensitive accounts without justification.

4. **External Indicators -**
   a. Negative news or alerts about borrowers or key stakeholders.
   b. Borrowers flagged in fraud databases or watchlists.

5. **Technology and Data Analytics -**
   a. Automated Monitoring Systems:
   b. Use real-time transaction monitoring systems to flag unusual patterns.
   c. Implement fraud detection tools using artificial intelligence (AI) and machine learning (ML).

6. **Data Analytics -**
   a. Analyze customer, transaction, and operational data to identify red flags.
   b. Use predictive analytics for pattern recognition and anomaly detection

7. **Integration with External Databases -**
   Leverage credit bureaus, financial crime databases, and other external data sources for borrower assessments.

8. **Reporting** - Develop a centralized reporting system to escalate EWS triggers to the appropriate authority (e.g., Fraud Risk Management Unit, Audit Committee).
   Regulatory Reporting - Report identified fraud risks to regulatory bodies as mandated.

9. **Preventive Controls** - Credit Monitoring and Conduct regular reviews of loan accounts and stress testing.

10. **Operational Controls** - Ensure robust Know Your Customer (KYC) and due diligence processes and Implement maker-checker controls to minimize manual fraud risks.

11. **Regular Review and Updates** - Periodically review and update the EWS framework to address emerging risks and regulatory changes and Conduct internal and external audits of the EWS processes.

12. **Training and Awareness** - Train employees to recognize and act on EWS indicators and Conduct regular workshops for stakeholders on fraud risk management.

13. **Fraud Risk Investigation Process** - Investigate triggers flagged by EWS, Assess the impact and probability of fraud and Take corrective measures, such as enhanced monitoring or legal action.

Credit facility / Loan account / Other banking transactions - Indication of fraudulent activities and further treatment -

Banks should monitor activities in credit facility / loan account / other banking transactions and remain alert on activities which could potentially turn out to be fraudulent. In cases where there is a suspicion / indication of wrongdoing or fraudulent activity, Bank should use an external audit or an internal audit as per BOD direction for further investigation in such accounts. Audit Department of the Bank should frame a policy on engagement of external auditors covering aspects such as due diligence, competency and track record of the auditors, among others. Further, the contractual agreement with the auditors shall, inter alia, contain suitable clauses on timeline for completion of the audit and submission of audit report to the BOD through ACB.

The loan agreement with the borrower should contain clauses for conduct of such audit at the behest of lender(s). In cases where the audit report submitted remains inconclusive or is delayed due to non-cooperation by the borrower, Bank shall conclude on status of the account as a fraud or otherwise based on the material available on their record and their own internal investigation/assessment in such cases.

Bank (sole lending, multiple banking arrangement or consortium lending) shall ensure that the principles of natural justice are strictly adhered to before classifying / declaring an account as fraud. In case an account is identified as a fraud by any member Bank, the borrowal accounts of other group companies, in which one or more promoter(s) / whole-time director(s) are common shall also be subjected to examination by Bank concerned from fraud angle under these Directions. In cases where Law Enforcement Agencies (LEAs) have suo moto initiated

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investigation involving a borrower account, Bank shall follow the process of classification of account as fraud.

If Bank place reliance on various third-party service providers as part of pre-sanction appraisal and post-sanction monitoring. Therefore, Bank may incorporate necessary terms and conditions in their agreements with third-party service providers to hold them accountable in situations where wilful negligence / malpractice by them is found to be a causative factor for fraud.

Bank shall initiate and complete the examination of staff accountability in all fraud cases in a time-bound manner in accordance with internal Staff Accountability Policy. In cases involving very senior executives of the Cooperative Banks (MD & CEO / Chief Executive Officer / Executives of equivalent rank), the ACB shall initiate examination of their accountability and place before the Board through ACB.

Persons / Entities classified and reported as fraud by Bank and also Entities and Persons associated with such Entities, shall be debarred from raising of funds and / or seeking additional credit facilities from Bank, for a period of five years from the date of full repayment of the defrauded amount / settlement amount agreed upon in case of a compromise settlement. Lending to such Persons / Entities, being commercial decisions, the Bank shall have the sole discretion to entertain or decline such requests for credit facilities after the expiry of the mandatory cooling period as mentioned above.

Treatment of accounts under Resolution –

In case an entity classified as fraud has subsequently undergone a resolution either under IBC or under the resolution framework of RBI resulting in a change in the management and control of the entity / business enterprise, the Bank shall examine whether the entity shall continue to remain classified as fraud or the classification as fraud could be removed after implementation of the Resolution Plan under IBC or aforesaid prudential framework. This would, however, be, without prejudice to the continuance of criminal action against erstwhile promoter(s)/ director(s)/ persons who were in charge and responsible for the management of the affairs of the entity / business enterprise. The penal measures as detailed in above shall not be applicable to entities / business enterprises after implementation of the resolution plan under IBC or aforesaid prudential framework. The penal measures detailed in above shall continue to apply to the erstwhile promoter(s)/ director(s)/ persons who were in charge and responsible for the management of the affairs of the entity / business enterprise.

Reporting and Closure of Frauds -

Bank shall immediately report the incidents of fraud to appropriate LEAs viz. State Police authorities, etc. subject to applicable laws. Banks shall establish suitable nodal point(s) / designate officer(s) for reporting incidents of fraud to Law Enforcement Agencies (LEAs) and for proper coordination to meet the requirements of the LEAs.

While reporting incidents of fraud to RBI through Fraud Monitoring Returns (FMRs) using online portal, Bank shall choose the most appropriate category from any one of the following –

1. Misappropriation of funds and criminal breach of trust;
2. Fraudulent encashment through forged instruments;
3. Manipulation of books of accounts or through fictitious accounts, and conversion of property;
4. Cheating by concealment of facts with the intention to deceive any person and cheating by impersonation;
5. Forgery with the intention to commit fraud by making any false documents/electronic records;
6. Willful falsification, destruction, alteration, mutilations of any book, electronic record, paper, writing, valuable security or account with intent to defraud;
7. Fraudulent credit facilities extended for illegal gratification;
8. Cash shortages on account of frauds;
9. Fraudulent transactions involving foreign exchange;
10. Fraudulent electronic banking / digital payment related transactions committed on Bank
11. Other type of fraudulent activity not covered under any of the above.

Bank shall furnish FMR2 in individual fraud cases, irrespective of the amount involved, immediately but not later than 14 days from the date of classification of an incident / account as fraud. Bank shall adhere to the timeframe prescribed in Master Directions for reporting of fraud cases to RBI. Bank must examine and fix staff accountability for delays in identification of fraud cases and in reporting to RBI. While reporting frauds, Bank shall ensure that persons / entities who / which are not involved / associated with the fraud are not reported in the FMR. Bank may, under exceptional circumstances, withdraw FMR / remove name(s) of perpetrator(s) from FMR. Such withdrawal / removal shall, however, be made with due justification and with the approval of BOD.

Reporting of frauds involving forged instruments, including fake / forged instruments sent in clearing in respect of truncated instruments, shall continue to be done by the paying banker and not by the presenting banker. In such cases the presenting Bank shall immediately handover the underlying instrument to the drawee / paying Bank, as and when demanded, to enable them to inform LEAs for investigation and further action under law and to report the fraud to RBI.

in the case of presentment of an instrument which is genuine but payment has been made to a person who is not the true owner; or where the amount has been credited before realisation and subsequently the instrument is found to be fake / forged and returned by the paying Bank, the presenting Bank which is defrauded or is put to loss by paying the amount before realisation of

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the instrument shall file the fraud report with the RBI and inform the LEAs for investigation and further action under law.

Bank shall close fraud cases using 'Closure Module' where the actions as stated below are complete:

(i) The fraud cases pending with LEAs / Court are disposed of; and

(ii) The examination of staff accountability has been completed.

In all closure cases of reported frauds, Bank shall maintain details of such cases for examination by auditors.

Other treatment for Fraud assessment -

1. **Legal Audit of Title Documents in respect of Large Value Loan Accounts** -Banks shall subject the title deeds and other related title documents in respect of all credit facilities of ₹1 crore and above to periodic legal audit and reverification, till the loan is fully repaid. The scope and periodicity of legal audit shall be once in three years.

2. **Treatment of Accounts classified as Fraud and sold to other Lenders / Asset Reconstruction Companies (ARCs)** – Bank shall complete the investigation from fraud angle before transferring the loan account / credit facility to other lenders / ARCs. In cases where Bank conclude that a fraud has been perpetrated in the account, they shall report it to RBI / NABARD before selling the asset to other lenders / ARCs

3. **Role of Auditors** - During the course of the audit, auditors may come across instances where the transactions in the account or the documents point to the possibility of fraudulent transactions in the account. In such a situation, the auditor should immediately bring it to the notice of the senior management and if necessary, to the Audit Committee of the Board (ACB) of the Banks for appropriate action. Internal Audit in Banks shall cover controls and processes involved in prevention, detection, classification, monitoring, reporting, closure and withdrawal of fraud cases, and also weaknesses observed in the critical processes in the fraud risk management framework of the Bank.

4. The '**date of occurrence**' is the date when the actual misappropriation of funds has started taking place, or the event occurred, as evidenced / reported in the audit or other findings. The '**date of detection**' to be reported in FMR is the actual date when the fraud came to light in the concerned branch / audit / department, as the case may be, and not the date of approval by the competent authority of the Bank. The '**date of classification**' is the date when due approval from the competent authority has been obtained for such a classification, and the reasoned order is passed.

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Amendments made in the meeting of Hon. BOD as on 25.03.2025 (Sub. 6 Reso. 6/5) Accordingly, based on the RBI Master Circular on frauds, the bank had framed its Fraud Risk Management Policy, incorporating the relevant circulars issued by the Reserve Bank of India. The policy was duly approved by the Honourable Board on January 14, 2025.

(Through **Circular No. RBI/DOS/2024-25/119 (DOS.CO.FMG.SEC.No.6/23.04.001/2024-25) dated 15 July 2024**, the RBI has issued **Master Directions on Fraud Risk Management for Urban Cooperative Banks (UCBs), State Cooperative Banks (StCBs), and Central Cooperative Banks (CCBs).** These Directions supersede all previous guidelines on the subject.)

The circular places significant emphasis on corporate governance and adherence to the principles of natural justice, such as:

- Issuing a notice of at least **21 days** before declaring a person/entity as fraudulent.
- Providing an opportunity to be heard.
- Issuing a reasoned order explaining the decision.

Additionally, the RBI Circular references judgments of the Honorable Supreme Court and the High Courts of Mumbai and Gujarat, which must be followed when holding individuals accountable for fraud. The policy must be aligned with the principles established in:

1. **Civil Appeal No. 7300/23**
2. **Misc. Application No. 810/2023**

These cases emphasize natural justice, including serving notice, providing an opportunity to respond, and issuing a reasoned order before classifying an entity as fraudulent. Other relevant judgments include:

- **Mumbai High Court ruling dated 7th August 2023 in Writ Petition No. 20751/23**
- **Gujarat High Court ruling in Special Civil Application No. 12000/2021**

Key Amendments recommended to be incorporated into the existing Policy –

1 . Show Cause Notice (SCN) Issuance of SCN : Circular Point No. 2.1.1 –

- Before classifying an account as fraudulent, the bank shall issue a detailed Show Cause Notice (SCN) to the concerned individuals/entities, providing them with 21 days to respond.

2. Staff Accountability, Examination of Staff Accountability, Staff Role : Circular Point No. 4.3 -

The bank shall examine the role of staff in fraud cases and take disciplinary action as per internal policies. Cases involving senior executives shall be reviewed by the Audit Committee of the Board (ACB).

- The bank must examine staff accountability in all fraud cases in a time bound manner.

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• For frauds involving amounts of ₹3 crore and above, the bank must refer the case to the Advisory Board for Banking and Financial Frauds (ABBFF).

3. Penal Measures Debarment of Fraudsters : Circular Point No. 4.4 –

• Individuals/entities classified, as fraudsters shall be debarred from availing credit facilities for 5 years from the date of full repayment or settlement.

4. Reporting Theft, Burglary, etc. Circular Point No. 9.1 –

• Reporting to RBI Instances of theft, burglary, dacoity, and robbery shall be reported to RBI's Fraud Monitoring Group (FMG) within 7 days. A quarterly return (RBR) shall be submitted to RBI.

Policy Review –

The HOD, Department shall put up the policy for review to the BOD annually.

Abhay Bhandare Accountant	Bharat Tilekar Asst.Gen.Manager,Accounts	Nilesh Kapare Asst.Gen.Manager

Shirish Polekar
Chief Executive Officer

Chairman
Executive Committee

Dr.Rajendra Hiremath
Chairman

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दिनांक 25/7/2025 ने मंजूर

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